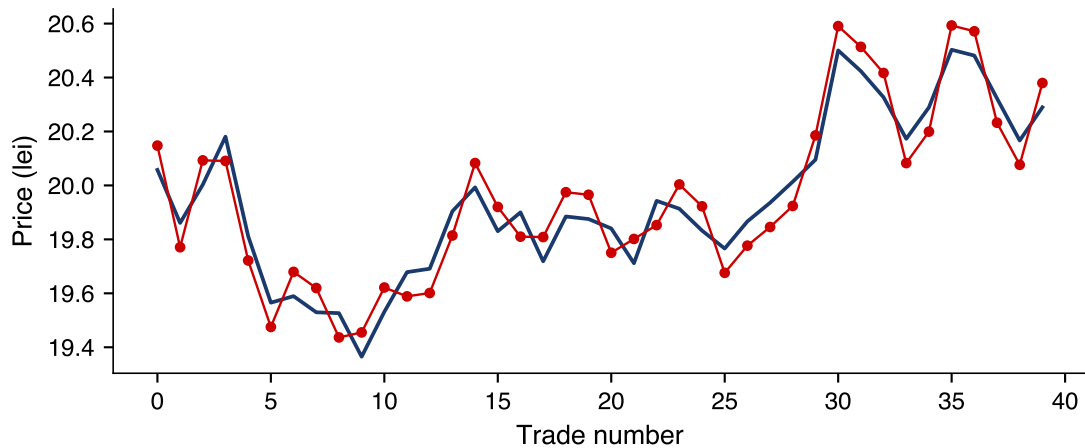
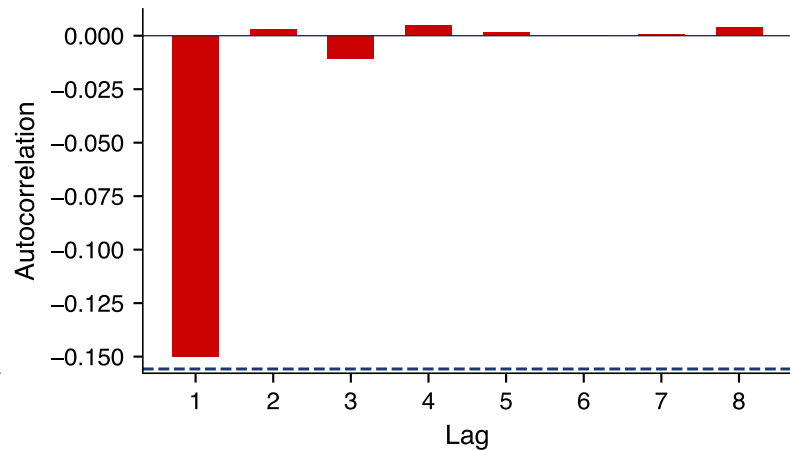


Simulated: trades alternate between bid and ask



Only lag 1 is negative



— Efficient price m_t

—•— Trade price $p_t = m_t + c q_t$, $c = 0.09$ lei

- - - Theory at lag 1: $-c^2/(\sigma^2 + 2c^2) = -0.156$

■ Sample autocorrelation of Δp_t (20,000 trades)